

AI Powered Daily Expense Tracker - SRS Document

1. Problem Statement

Many individuals struggle to manage their daily expenses effectively. They often spend money on unnecessary items without realizing how much they are wasting over time. Traditional expense tracking methods are manual, time-consuming, and do not provide intelligent insights. This project aims to develop an AI-powered expense tracker that helps users analyze past spending patterns and identify unwanted expenses across weekly, monthly, and yearly periods.

2. Objectives

The main objectives of the project are:

- 1 To help users record daily expenses easily
- 2 To categorize expenses automatically using AI
- 3 To identify unnecessary spending patterns
- 4 To generate reports for weekly, monthly, and yearly analysis
- 5 To provide suggestions for reducing unwanted expenses

3. Theory / Background

Expense tracking systems are based on financial management principles. By collecting transaction data and analyzing spending behavior, users gain awareness of their financial habits. Artificial Intelligence enhances this process by automatically categorizing expenses, detecting patterns, and generating personalized suggestions.

4. System Features

The system includes user authentication, expense entry, AI categorization, analytics dashboard, report generation, and intelligent recommendations.

5. Functional Requirements

Users must be able to add, edit, and delete expenses. The system should categorize transactions automatically. Reports must be generated for different time ranges. AI should analyze spending and suggest improvements.

6. Non-Functional Requirements

The system should be fast, secure, user-friendly, and reliable. Data privacy must be maintained. The interface should be simple and responsive.

7. Expected Outcome

Users will gain awareness of their unnecessary expenses and develop better financial discipline through AI-powered insights.

8. Conclusion

This project demonstrates how AI can improve personal finance management by turning raw expense data into actionable intelligence.